case the Court of Directors did not approve of the plan. In the event, the consent was not received until the end of 1808 and the Bank of Calcutta remained in existence from March 27, 1806, when the first Board of Directors was constituted, until the end of 1808.

The setting up of the Bank of Bengal marked the advent of modern, limited liability joint-stock banking in India with new features such as deposit banking. The practice of accepting money for safekeeping by the indigenous bankers had not spread in most parts of India. In fact the Bank of Bengal is an early example of public-private partnership. The charter had funded the bank with only 20 percent government support, the residual shareholding resting in private hands with shareholders comprising both Indians and foreigners. Tucker's original plan had suggested a 40 percent government share with six of the nine directors as government appointees. In either case, government control was in excess of its proportional shareholding.

The proprietors of the Bank of Bengal elected six proprietary Directors at a meeting in December 1808. Tucker was once again nominated a government Director and was subsequently elected President of the Board. The establishment of the Bank of Calcutta was taken over by the Bank of Bengal and J.W. Sherer who was the first Secretary and Treasurer of the Bank of Calcutta became the Secretary and Treasurer of the new bank. The charter placed an overall limit on the bank's debts (including bank notes) and specified the kinds of securities against which the bank could lend. In addition, the charter imposed certain restrictions on the choice of portfolio or the amount of note issue by the bank.[4] While a detailed discussion on the working of the bank is beyond the scope of this book, it should suffice to say that more than half of the earnings of the bank accrued from its holdings of government paper and from its interest income on loans on deposit of Company's paper and by discounting bills.

The most important precautionary measures were provisions requiring the maintenance of a cash reserve of at least one-third of the outstanding liabilities payable on demand, and limiting the total liabilities of the bank of all kinds to the amount of the bank's capital. The latter had the effect of restricting the note issue to ₹50 lakhs, or even less, as deposits and all other liabilities were included in applying the limit. The Government also reserved to themselves ample powers of control. They were represented on